

which was breaking out to a two-year low against the hated dollar.⁷ If it couldn't rally versus the dollar when the Fed was "printing money" like crazy, what was it going to take?

Although I had a directional bias based on my view of the macro environment, I didn't take the trade until the lira broke out of its two-year trading range. The market had to prove itself before the trade was entered. If there had not been a breakout, there would not have been a trade.

But what about the tendency for markets to have false breakouts?

The key distinction here is that I had a fundamental reason to expect the breakout. The breakout approximately coincided with the end of QE2. Also I used a protective stop below a recent relative low⁸—a point I thought should not be reached if my trade premise was correct—to limit my losses if I was wrong.

Can you give me another example of a trade that illustrates your approach?

In 2011, gold managed to rally over \$500/oz., while platinum was barely able to gain \$100/oz. Therefore as a trader, if my directional bias is long, I want to buy gold, and if my bias is short, then platinum stands out as the best vehicle for the trade. Novice speculators, however, would tend to do the exact opposite: They would buy platinum as a proxy for gold because "it hasn't yet made the move." Whatever the reason, the point is that many traders buy platinum because they are bullish gold. Buying a laggard as a proxy for a leader is a bad idea, and as a trader, I am keen to take the other side of such a trade when I see a potential setup.

In mid-August [2011] gold surged to over \$1,900, a new all-time high. Platinum only managed to retest the high end of its trading range. Both markets were seriously overbought, sentiment was extreme, and there were price divergences. All of these considerations suggested that the precious metals markets were vulnerable to a steep correction. And sure enough, over the course of three days, gold corrected over \$200, and platinum fell hard as well. That was the test. In the aftermath, you find out what the markets are really made of. Gold subsequently recovered quickly, and over the next couple of weeks soared \$220 to a new all-time